Intercompany Transfer Policy

Revantage Europe – Group Policy

Policy Owner	Version	Effective Date	Last Updated
Group Finance	1.0	2026-01-01	2026-10-08

1. PURPOSE
This policy governs transfers of funds and services between Revantage Europe (parent company) and property-owning Propcos (subsidiaries), ensuring arm's-length transfer pricing, proper documentation, and accurate financial reporting. This policy covers intercompany shared-services recharges; the third-party property management fee is covered separately.

2. PROPERTY MANAGEMENT FEE (Third-Party)
2.1 Charged to Propcos
Property management services (leasing, maintenance coordination, tenant relations) are contracted to third-party property managers (account 6000 Management Fees). The fee is 3% of gross revenue, charged monthly by the contractor.

2.2 Included in Net Profit Calculation
The property management fee IS deducted from each Propco's property net profit (for KPIs, bonus calculations, internal reporting). It is treated as a normal operating expense.

2.3 Documentation
Invoices and contracts with third-party property managers are maintained by Finance.

3. INTERCOMPANY SHARED-SERVICES RECHARGES
3.1 Recharge Mechanism
Revantage Europe provides group shared services (IT, finance, human resources, treasury) to each property-owning Propco. These costs are recharged quarterly as intercompany charges (account 8000 Intercompany Charges).

3.2 Recharge Rate
Intercompany shared-services recharge equals 1.5% of gross rental revenue (and other property operating revenue) per quarter.

3.3 Billing Quarterly
- Each Propco receives a quarterly invoice from Revantage Europe
- Invoice is dated on the last day of the quarter (31 Mar, 30 Jun, 30 Sep, 31 Dec)
- Amount is 1.5% × (gross revenue collected from tenants in that quarter)

3.4 Examples
- Harbor Tower Propco LLC: quarterly rent = $472,000 → intercompany recharge = $7,080
- Kirchberg Plaza S.à r.l.: quarterly rent = €600,000 → intercompany recharge = €9,000

4. INTERCOMPANY LOAN INTEREST
4.1 Intercompany Loans
Where Revantage Europe finances Propco operations via intercompany loans, interest accrues at a rate determined annually by the Board (arm's-length rate, comparable to market debt rates for similar risk).

4.2 Interest Charged
Interest on intercompany loans is charged monthly and billed quarterly (account 8100 Intercompany Loan Interest). The

rate and principal amount are documented in a formal intercompany loan agreement.

4.3 Settlement
Interest payments are subject to the same 30-day settlement terms as other intercompany charges.

5. ARM'S-LENGTH TRANSFER PRICING
5.1 Fair Market Rate
All intercompany charges (shared-services recharge and loan interest) are reviewed annually by Finance and approved by the Board to ensure they reflect arm's-length rates (comparable to market prices for similar services and debt rates in each jurisdiction).

5.2 Documentation
Transfer pricing documentation must be maintained by Group Finance for tax compliance in each jurisdiction (EU transfer pricing regulations).

6. EXCLUSION FROM NET PROFIT REPORTING
6.1 Reporting to Finance
When calculating property net profit (for KPIs, bonus calculations, or internal reporting), intercompany shared-services charges (account 8000) and intercompany loan interest (account 8100) are excluded from the property's "cost of operations."

6.2 Separate Disclosure
Intercompany charges are tracked separately by Finance and reported in a dedicated schedule (not netted into operating profit). Property net profit is shown before intercompany charges.

6.3 Example
- Kirchberg Plaza gross revenue: €600,000
- Operating costs (utilities, cleaning, maintenance): €210,000
- Third-party management fee (account 6000): €18,000 (3% of revenue) — INCLUDED in net profit
- Net profit reported to executive management: €372,000 (includes the €18,000 fee as operating cost)
- Separate disclosure: Intercompany shared-services recharge: €9,000 (1.5%); Intercompany loan interest: €2,400
- Finance reports: "Property net profit before intercompany charges: €372,000"

7. SETTLEMENT AND RECONCILIATION
7.1 Settlement Terms
All intercompany invoices must be paid within 30 days of invoice date.

7.2 Variance Reconciliation
At each quarter close, Finance reconciles the Propco's payment with the invoice raised by Revantage Europe.
- Discrepancies >€1,000 (absolute amount) must be investigated and resolved before quarter close
- Prepayments or underpayments >€1,000 must be documented and carry-forwarded to the next quarter

7.3 Year-End True-Up
At year-end (31 December), Finance performs a full true-up: reconciles actual revenue received by each Propco to the intercompany charges billed, and adjusts any over/under-charges in a Year-End Adjustment invoice (January).

8. PROHIBITED ACTIVITIES
- Transfer pricing that deviates significantly from the arm's-length rates without Board approval
- Intercompany debt arrangements that are not documented
- Split invoicing or timing manipulations to avoid consolidated reporting

9. EXCEPTIONS
Any exceptions to this policy (non-standard intercompany charges, one-time transfers) require written approval from the CFO and Group Finance.